

Semtech Technology (SMTC US)

Robust AI Demand amid Supply Constraint, 1.6T Products Ramp

Maintained **Buy**
Target price \$162

Maintain Buy with TP of \$162 Semtech delivered a F2Q revenue of \$341.9mn (+33% YoY, +17% QoQ), beating consensus of \$328.6mn, while non-GAAP EPS came in at \$0.71, ahead of consensus \$0.61. Non-GAAP gross margin expanded to 54.5%, up 150bps QoQ, hitting a new company record for the segment-driven data-center ramp. The company guided F3Q revenue of \$410mn, non-GAAP gross margin of 58.3% and non-GAAP EPS of \$1.02-1.08, all above market consensus. Management emphasized extremely strong AI-related demand roughly 3x current supply capacity constrained by silicon and InP wafer/ OSAT capacity, and reiterated that data-center segment growth will remain robust though they discontinued providing explicit segment YoY growth guidance due to supply-side uncertainty. We forecast FY27E/28E EPS of \$3.6/\$7.4. Our TP of \$162 is based on 22x FY28E EPS.

1.6T CopperEdge/FiberEdge ramping up: Semtech's CopperEdge 1.6T ACC solutions entered mass shipment to major hyperscalers in F2Q, moving from sampling to material revenue contribution. FiberEdge 1.6T TIA-driver solutions have commenced initial shipments in the quarter, with management targeting >50% market share within its targeted 1.6T market by end-FY27E. Following the HieFo InP laser acquisition, Semtech advanced vertical integration for TIA, driver, and laser chips to bolster long-term supply resilience, with meaningful laser-chip shipments yet to occur this quarter. A product-mix shift toward high-value 1.6T ACC and optical devices lifted gross margin sequentially to 54.5%.

NPO penetration and hyperscaler AI demand expand long-term TAM: The company deepened participation in industry MSA standardization for LPO and NPO, securing multiple customer design wins and opening incremental market space complementary to pluggable solutions. Management confirmed AI-related customer demand reaches roughly 3x current supply capacity, with growth constrained solely by SiGe/InP wafer and OSAT packaging capacity. Despite suspended explicit segment growth guidance due to supply uncertainty, multi-year hyperscaler demand visibility remains solid, laying a foundation for robust data center business growth throughout FY27E.

Risks: 1) Intensifying competition; 2) Slower 1.6T/NPO Migration; 3) Geopolitical risks.

Profit forecast

	FY25	FY26	FY27E	FY28E	FY29E
Revenue (m)	909	1,050	1,494	2,226	3,002
Revenue YoY (%)	4.7	15.5	42.3	49.0	34.9
Net profit (m)	67	157	353	736	1,130
Net profit YoY (%)	639	134	125	109	54
EPS (\$)	0.9	1.7	3.6	7.4	11.2
P/E	145.2	74.7	35.5	17.3	11.4
ROE (%)	57.0	28.6	45.5	42.0	48.5

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Earnings Forecast

Earnings revision

By factoring results and guidance, we revise our FY27E/FY28E EPS estimates by +16%/+2%.

Figure 1: Earnings revision

USD m	FY26	FY27E		FY28E		Change (%)	
		Old	New	Old	New	FY27E	FY28E
Net sales	1,050	1,371	1,494	2,123	2,226	9%	5%
Gross profit	554	771	845	1,294	1,358	10%	5%
Operating profit	434	865	910	1,336	1,390	5%	4%
Pre-tax Income	428	852	897	1,323	1,378	5%	4%
Net profit	157	300	353	707	736	17%	4%
EPS (\$)	1.7	3.1	3.6	7.2	7.4	16%	2%
Key ratios (%)							
Gross margin	53%	56%	57%	61%	61%		
Operating margin	41%	63%	61%	63%	62%		
Net profit margin	41%	62%	60%	62%	62%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Semtech's P&L forecast

(USD m)	FY26	F1Q27	F2Q27	F3Q27E	F4Q27E	FY27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E	FY28E
Sales	1,050	291	342	411	450	1,494	462	507	569	687	2,226
COGS	496	137	156	172	185	649	187	201	221	259	868
Gross profit	554	154	186	239	265	845	275	306	348	428	1,358
Opex	353	95	103	106	107	411	109	111	113	114	448
Operating profit	201	59	83	134	158	434	166	195	235	314	910
Non-operating profit	-17	0	0	-3	-3	-6	-3	-3	-3	-3	-13
Pre-tax profit	185	60	84	130	155	428	163	192	232	311	897
Income tax	28	10	14	23	28	76	29	34	42	56	162
Net Income	157	49	70	107	127	353	133	157	190	255	736
Diluted EPS (\$)	1.7	0.5	0.7	1.1	1.3	3.6	1.3	1.6	1.9	2.5	7.4
Diluted shares	92	97	98	99	99	98	100	100	100	100	100
Margin analysis											
Gross margin	52.8%	53.0%	54.5%	58.2%	58.9%	56.5%	59.6%	60.3%	61.1%	62.3%	61.0%
Operating margin	19.2%	20.3%	24.4%	32.5%	35.1%	29.0%	35.9%	38.4%	41.3%	45.7%	40.9%
Pre-tax margin	17.6%	20.5%	24.5%	31.7%	34.4%	28.7%	35.2%	37.8%	40.8%	45.2%	40.3%
Effective tax rate	15.0%	17.0%	17.0%	18.0%	18.0%	17.7%	18.0%	18.0%	18.0%	18.0%	18.0%
Growth (% YoY)											
Sales	15%	16%	33%	54%	64%	42%	59%	48%	39%	53%	49%
Operating profit	35%	24%	71%	143%	216%	116%	180%	133%	76%	99%	110%
Net income	134%	45%	89%	142%	202%	125%	170%	126%	78%	101%	109%
EPS	94%	35%	74%	127%	191%	110%	162%	121%	76%	99%	105%
Product mix (%)											
Signal Integrity	31%	35%	37%	43%	48%	41%	50%	54%	59%	66%	58%
Analog Mixed Signal and Wireless	36%	35%	34%	33%	29%	32%	29%	26%	23%	19%	24%
IoT Systems and Connectivity	34%	30%	29%	24%	23%	26%	22%	20%	18%	15%	18%

Sources: Company data, GF Securities (Hong Kong) Brokerage

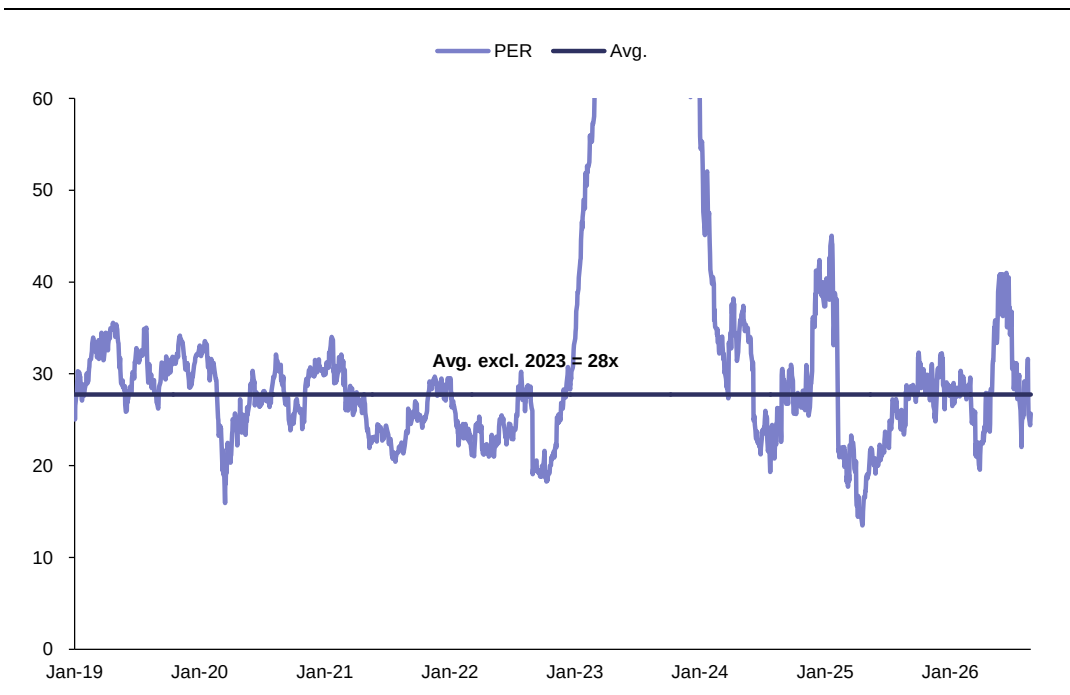
Valuation and Recommendation

Maintain Buy with TP of \$162

We rate Semtech Technology (SMTC US) at Buy and set our TP at \$162, based on 22x our FY28E(CY2027) EPS estimate. We adopt FY28E as valuation basis to capitalize on FiberEdge/CopperEdge ramp-up which is the key market focus. We adopt P/E methodology as we believe the market now mainly focuses on the company's earnings outlook.

Semtech's forward P/E valuation was traded at an average of 28x historically, excluding the impact of acquisition in 2023. We derive our target price based on 22x P/E, which is slightly below its mid-cycle level given the recent market expectations reset for CPO/optical. From peers comparison, our target P/E of 22x is below its peers of 45x, while we expect SMTC with opportunities to catch up driven by the earnings upside as well as robust trend of TIA/driver and NPO.

Figure 3: Semtech's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) Intensifying competition; 2) Slower 1.6T/NPO Migration; 3) Geopolitical risks.

Balance Sheet						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Current assets	585	655	1,045	1,846	3,031	
Cash and cash equivalents	152	195	367	847	1,768	
Inventory	164	196	200	280	351	
Accounts Receivable	163	161	224	342	437	
Other current assets	108	104	254	377	476	
Non-current assets	834	755	886	872	863	
Long-term equity investment	566	498	523	523	523	
Fixed assets	126	109	88	73	64	
Other long-term assets	141	148	276	276	276	
Total assets	1,419	1,410	1,931	2,717	3,895	
Current liabilities	283	276	449	481	509	
Accounts Payable	59	84	80	112	140	
Short-term borrowings	46	-	143	143	143	
Other current liabilities	178	192	226	226	226	
Non-current liabilities	594	585	461	461	461	
Long-term Debt	506	491	349	349	349	
Other non-current liabilities	88	93	111	111	111	
Total liabilities	877	861	910	942	970	
Total Equity	542	550	1,021	1,775	2,925	
Share Capital	1	1	1	1	1	
Additional Paid-in Capital	1,470	1,467	1,524	1,626	1,736	
Retained earnings	-396	-436	-56	596	1,636	
Minority interests	-533	-482	-449	-449	-449	
Total Liabilities & Equity	1,419	1,410	1,931	2,717	3,895	

Income Statement						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Revenue	909	1,050	1,494	2,226	3,002	
Cost of sales	441	496	649	868	1,135	
Gross profit	469	554	845	1,358	1,867	
Operating Expense	320	353	411	448	477	
Operating profit	149	201	434	910	1,390	
Interest Income	2	2	3	3	3	
Interest Expense	-90	-41	-12	-16	-16	
Net other Non-op. Income/(Loss)	18	22	3	-	-	
Pre-tax profit	79	185	428	897	1,378	
Income tax	12	28	76	162	248	
Profit for the year	67	157	353	736	1,130	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	67	157	353	736	1,130	
EPS (\$)	0.9	1.7	3.6	7.4	11.2	

Cash Flow Statement						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Operating cash flow	58	196	222	508	958	
Profit for the year	-162	-40	380	652	1,040	
Depreciation & amortization	43	41	40	42	45	
Change in working capital	-50	56	-192	-289	-236	
Others	226	139	-7	102	109	
Investing cash flow	-12	-23	-44	-27	-37	
Capex	-8	-10	-25	-27	-37	
Change in investment	2	2	-	-	-	
Others	-6	-16	-20	-	-	
Free cash flow	50	186	197	480	921	
Financing cash flow	-22	-124	-26	-	-	
Change in Capital	-	-	-	-	-	
Net Change in Debt	-657	-76	-	-	-	
Others	636	-48	-26	-	-	
Exchange influence	-1	-5	-	-	-	
Net increase in cash	23	43	152	480	921	

Key Financial Ratios					
	FY25	FY26	FY27E	FY28E	FY29E
Growth (%)					
Revenue growth	4.7	15.5	42.3	49.0	34.9
Operating profit growth	60.7	35.1	115.7	109.7	52.8
Net profit growth	639.2	134.4	124.6	108.7	53.5
Profitability (%)					
Gross profit margin	51.5	52.8	56.5	61.0	62.2
Operating Profit Margin	16.4	19.2	29.0	40.9	46.3
Net profit margin	7.4	15.0	23.6	33.1	37.6
Key Ratio (%)					
ROA	4.8	11.1	21.1	31.7	34.2
ROE	57.0	28.6	45.5	42.0	48.5
Stability					
Gross debt/equity	0.2	0.2	0.3	0.1	0.1
Interest Coverage	1.7	5.0	36.6	56.9	86.9
Current Ratio	2.1	2.4	2.3	3.8	6.0
Quick Ratio	1.4	1.6	1.8	3.2	5.2
Net debt/equity	Net Cash	Net Cash	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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